www.tntextbooks.in

UNIT II FORMS OF BUSINESS ORGANISATION

CHAPTER 9 GOVERNMENT ORGANISATION

Learning Objectives

To enable the students to understand

i. the meaning of Departmental undertaking, features, advantages and disadvantages
ii. the meaning of Public Corporation, features, advantages and disadvantages
iii. the meaning of Government Company, features, advantages and disadvantages

Introduction

Public enterprise, as a form of business organization gained economic importance in most of the countries of the world in recent years. During the twentieth century, various Governments started participating in industrial and commercial activities. Previously, the role of Government was limited only to the maintenance of law and order. Industrial revolution helped all-round growth of industries. Private entrepreneurs worked, only for the profit motive. The exploitation of consumers and workers by private entrepreneurs was very common. The development of industries was left to the judgement of private enterprises. Therefore, Government intervention became necessary to safeguard the interests of the public, even in developed countries like USA and UK.

The Government thus, can own and control industry and business in two ways:

i. By starting a new unit
ii. By taking over an existing industrial or commercial unit owned by private persons.

9.01 Meaning and Features of Departmental Undertaking

Department form of organisation of managing state enterprises is the oldest form of organisation. In those days, no distinction was made between the routine functions of the Government and that of the public enterprises. Therefore, most of the early state owned enterprises were the best examples of the departmental form of organisation.Under departmental form of organisation, a public enterprise is run as a separate full-fledged ministry or as a major sub-division of a department of the Government.

For example, the Indian Railways are managed by the Ministry of Railways. Post and Telegraph services are run as a department, under the Ministry of Communication. The Delhi Milk Scheme, All India Radio, Doordarshan are other examples of departmental undertakings.